

Class 20

Market Power and Antitrust

Part IV — Governing Capitalism's Consequences

The American Economy — draft course materials (proposal under discussion)

The point of today's class

Antitrust is an American institution designed to preserve capitalism by protecting competition: large firms can create enormous value through scale, innovation, and lower prices — but market power can raise prices, suppress wages, block entry, slow innovation, and distort politics.

Why it matters

- ▶ Would you break up Amazon? Before you answer: the same scale that delivers two-day shipping and cheap cloud computing can also block rivals and squeeze suppliers.
- ▶ Reject two bad stories:
 - ▶ **Bad story 1:** big firms are bad because they are big.
 - ▶ **Bad story 2:** big firms are good because they got big by serving consumers.
- ▶ The antitrust question is not “big or small?” It is “**competitive or protected?**”
- ▶ This resolves Class 9’s open question — is a large firm a threat to capitalism or an achievement of it? Answer: it can be both.

Today

1. The scale paradox: why big firms help and harm
2. Monopoly is not just high prices
3. American antitrust institutions: Sherman to Big Tech
4. Measuring market power — the markups debate
5. Superstar firms, platforms, and the hard cases
6. Monopsony: antitrust for workers

The scale paradox

Why large firms can help	Why large firms can harm
Lower average costs	Higher prices
Large R&D budgets	Block entry
National / global distribution	Squeeze suppliers
Logistics and reliability	Suppress workers' wages
Network effects	Lock-in
Consumer surplus	Acquire nascent rivals

- ▶ Class 9 callback: antitrust starts with respect for what large firms do well — Standard Oil scaled refining, Ford mass production, Walmart logistics, Amazon fulfillment and cloud, Nvidia AI hardware.
- ▶ Otherwise you cannot understand why the tradeoff is hard.

Monopoly is not just high prices

- ▶ The textbook harm: a monopolist raises price above cost and cuts output — mutually beneficial trades never happen (deadweight loss).
- ▶ But that model is only the starting point:

Harm	Example
Lower quality	Worse service, junk ads, degraded marketplace
Less privacy	Data extraction
Less innovation	Killing or acquiring threats
Worse worker conditions	Monopsony
Worse supplier terms	Platform fees
Political influence	Regulation shaped by incumbents

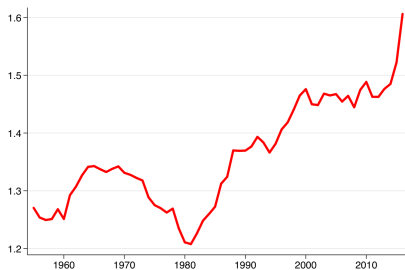
- ▶ Modern antitrust is often about terms, entry, data, and ecosystems — not just sticker prices.

American antitrust institutions

Year	Institution / event	Economic meaning
1890	Sherman Antitrust Act	Federal ban on monopolistic practices
1911	Standard Oil breakup	Rule of reason; conduct, not mere size
1914	Clayton Act	Mergers, tying, interlocks
1914	FTC Act	Unfair methods of competition
1982	AT&T breakup settlement	Network monopoly
1998–2001	Microsoft case	Platform power and exclusion
2020s	Big Tech cases	Search, app stores, marketplaces, AI

- ▶ Standard Oil (1911): the issue was not size but *conduct* — exclusion, control of distribution, unreasonable restraints.
- ▶ The principle: antitrust protects **competition, not competitors**. Winning by inventing a better product is fine; blocking rivals from the market is not.

The rise of markups in the U.S., 1955–present



1: Average Markups. Output elasticities θ_{st} from estimated production functions using varying and sector-specific (2 digit). Average is revenue weighted. Evolution 1955–

since 1980 there has been a steady increase to 1.61. In 2016, the average markup is 61% over marginal cost, compared to 21% in 1980. In Online Appendix 5 we report the distribution of individual firms' markups.

In broad terms, there are three sources that can account for this rise in average markups:

Source: De Loecker, Eeckhout, and Unger (2020), *Quarterly Journal of Economics*, Figure 1.

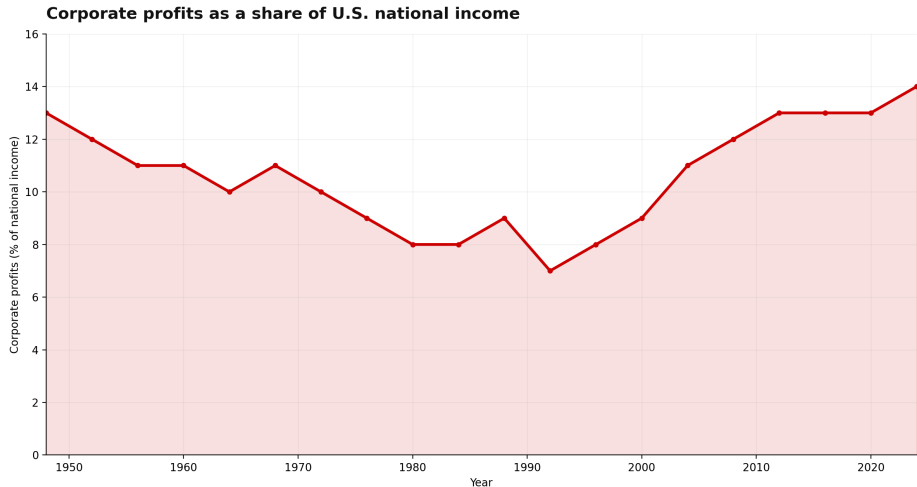
Does this chart prove monopoly power rose? The debate

- ▶ De Loecker, Eeckhout, and Unger: average U.S. markups rose from about 21% above marginal cost in 1980 to about 61% — driven by the top firms, not the median firm.
- ▶ Important evidence — **but contested, not proof**:

Interpretation	Claim
Market-power story	Firms increasingly price above cost
Superstar-firm story	Efficient firms win larger shares
Intangible / fixed-cost story	High fixed costs require high markups
Measurement critique	Revenue data can mislead
Sector-shift story	Economy moved toward high-markup sectors

- ▶ Bond, Hashemi, Kaplan, and Zoch: estimating markups from revenue data has real arithmetic and measurement problems.
- ▶ Other gauges — concentration, profits, startup rates — are each imperfect too. One chart is evidence, not a verdict.

Corporate profits as a share of national income



Source: Bureau of Economic Analysis, via FRED (CP/GDP).

Superstar firms — and the hard case

- ▶ Autor, Dorn, Katz, Patterson, and Van Reenen: if technology and globalization shift sales toward the most productive firms, concentration rises and the labor share falls — *even without misconduct*.
- ▶ The hard case: suppose Amazon really is better at logistics. Should antitrust intervene?

Reason not to intervene	Reason to worry
Consumers get lower prices	Rivals cannot reach the marketplace
Logistics are efficient	Sellers face high fees
Scale funds innovation	Platform can self-preference
Success is earned	Success can become protected

- ▶ The hard cases are not bad firms obviously harming consumers — they are great firms becoming gatekeepers.

Platforms and Big Tech

Platform feature	Antitrust issue
Network effects	Tipping toward one dominant firm
Data advantages	Learning and targeting barriers
Default settings	User lock-in
App stores / marketplaces	Gatekeeper power
Zero-money prices	Consumer welfare harder to measure
Acquisitions	Buying future rivals

- ▶ Microsoft (1998–2001) is the bridge from Standard Oil to Big Tech: platform control, browser competition, defaults, bundling, barriers to entry.
- ▶ The 2020s cases — Google (search), Apple (smartphones), Amazon (marketplace), Meta (acquisitions) — are a live laboratory for market definition, quality, privacy, data, and remedies.

Antitrust for workers: monopsony

Seller power (monopoly)	Buyer power (monopsony)
Raises prices to consumers	Lowers wages or supplier prices
Product market	Labor / supplier market
Harms consumers	Harms workers and suppliers
Classic antitrust	The new antitrust frontier

- ▶ Azar, Marinescu, and Steinbaum: more concentrated local labor markets have lower posted wages (Class 12 callback: outside options).
- ▶ The 2023 DOJ/FTC Merger Guidelines explicitly examine whether mergers of competing *buyers* lessen competition for workers, creators, and suppliers — modern antitrust is not only about consumers.

Getting the balance right

Too little antitrust	Too much antitrust
Monopoly prices	Lost scale economies
Blocked startups	Less innovation by big firms
Wage suppression	Uncertainty for investment
Political power	Weaker global competitors
Stagnant markets	Inefficient smallness

- ▶ Remedies range from merger review to conduct rules to breakup — each with its own costs and monitoring problems.
- ▶ The goal is not to punish success — it is to prevent firms from *protecting* success by blocking competition.
- ▶ Good antitrust is pro-competition, not anti-size.

Discussion

Is Amazon more like Standard Oil, Walmart, a shopping mall, a railroad, or a government? It has features of all five — retailer, marketplace, logistics network, cloud provider, and rule-setter. Which analogy should guide antitrust policy?

Read before next class

- ▶ FTC, “The Antitrust Laws” — the official overview of the Sherman, Clayton, and FTC Acts.
- ▶ De Loecker, Eeckhout, and Unger (2020), “The Rise of Market Power” (skim Figure I — and remember the caveats).